

Interview Feedback

Brew & Bean Profitability · 2026-07-18 · Overall: adequate

Top improvement

Fix the nested-percentage math: a share of COGS is not points of revenue, and don't build historical bases on unconfirmed assumptions — the inflated \$103M/\$80M figures manufactured a phantom operational problem and steered the entire diagnosis and recommendation away from the real driver (confirmed 40% bean inflation plus lagging prices).

Rubric Scores

Problem Structuring

adequate

What went well

After the interviewer flagged the first answer as generic, the candidate delivered a recognizable profitability structure split into revenue and cost drivers with sub-branches.

“To systematically uncover why profitability is declining, we need to look at both sides of the equation: Revenue (top-line) and Costs (bottom-line)”

“Volume (\$Q\$): Has there been a drop in the number of units sold?”

The candidate added an external/competitive pillar, which matches the bonus in the structure key.

“3. External Market & Competitive Dynamics”

“Competitor Actions: Have competitors launched a price war, or introduced a superior substitute that is driving down our volume?”

What needs work

The opening framework was a memorized, generic multi-scenario template rather than a tailored structure, which the interviewer explicitly called out.

“If it's a Profitability issue: I will look at the problem through a Revenue (Price $\times$ Volume) and Cost (Fixed Costs + Variable Costs) lens”

“If it's a Strategic/Market Entry issue: I will analyze the Market (growth, trends), the Competitors...”

Even the revised structure was untailored to a coffee business until later and lacked an upfront stated prioritization of where the answer likely lived.

“We will isolate the root cause by breaking the problem down into three primary pillars.”

Missed opportunities

At turn 0 when asked to walk through the approach to this specific problem, the candidate delivered a case-agnostic 4-step meta-framework.

A great answer: “For a coffee retailer's profitability decline, I'd break profit into revenue (price $\times$ volume, by SKU and location) and costs (COGS — beans, milk, packaging; labor; rent/overhead). My hypothesis is this is a cost-driven squeeze, likely input inflation, so I'd start there — but let me confirm the objective and timeline first.”

Quantitative & Analytical Rigor

adequate

What went well

The candidate correctly laid out the equation before computing when reconstructing historical COGS, narrating each step and tracking units.

“Calculate Absolute COGS (2 Years Ago): Multiply Total Revenue by 42%”

“Revenue (2 Years Ago) = $480 / 1.15 = \$417.4M$ ”

The candidate correctly read both margin figures from the exhibit (6% current, 24% prior), which the deterministic check confirms.

“profits compressed from 24% down to just 6%”

What needs work

The candidate's headline COGS dollar increase of \$103.1M is materially overstated; the correct figure is ~\$76.8M (16pp $\times$ \$480M), and the error stems from building the prior-year base off a 15% revenue growth assumption the interviewer never confirmed as a two-year figure.

“Total COGS Increase = $278.4 - 175.3 = \$103.1M$ ”

“Comparing that \$23.1M increase to our total \$103.1M problem shows that even with a substantial 40% commodity spike, beans would only explain about 22% of our profit erosion.”

The first bean-impact estimate committed the classic nested-percentage error — applying 40% to the full 42 points of COGS-as-share-of-revenue as if beans were 100% of COGS.

| *"if beans were 100% of COGS, a 40% increase on 42 points of revenue would yield an increase of $\$42 \times 0.40 = 16.8\$$ points"*

| *"beans must represent roughly 95% of total COGS ($\$16 / 16.8\$$)"*

The 22%-of-the-problem conclusion is built on an invented 33% bean share and an inflated denominator, so the entire downstream 'massive operational issue elsewhere' narrative rests on unverified numbers.

| *"if coffee beans typically make up one-third (33%) of a coffee house's COGS"*

| *"This strongly suggests that a massive operational issue elsewhere ... is driving the rest of the $\$103.1M$ increase."*

Missed opportunities

At turn 13, asked to estimate whether the bean spike explains the 16-point jump, the candidate applied 40% to the full 42 COGS points.

A great answer: "Beans are only a slice of COGS. If beans are, say, 30% of the 42 points of COGS — about 12.6 points of revenue — a 40% price rise adds roughly 5 points of revenue in cost. That's a meaningful chunk of the 16-point jump but not all of it, so I'd want the actual bean share before concluding."

Data & Exhibit Interpretation

strong

What went well

The candidate oriented to the exhibit systematically, isolated COGS as the driver, and correctly recognized the figures as percentage-of-revenue.

| *"Based on Exhibit A, COGS is the clear driver of the profitability decline."*

| *"Because the numbers in each row sum to exactly 100, this looks like a percentage-of-revenue breakdown."*

The candidate translated the reading into a business implication and a concrete next step, exactly as the exhibit key demands (name COGS, ask what's inside it).

| *"COGS isn't just growing with volume—it's severely outstripping it, expanding significantly as a percentage of our total sales."*

| *"Input Prices: Have the raw costs of coffee beans, milk, or packaging increased?"*

What needs work

The candidate correctly identified labor as flat and overhead as up slightly, but did not explicitly note this rules out those buckets as levers, which becomes relevant later for the recommendation.

| *"Labor: Remained completely flat at 22."*

| *"Overhead: Crept up slightly by 2 units (from 12 to 14)."*

Business Judgment & Insight

adequate

What went well

The candidate correctly avoided a blanket cost-cutting recommendation and reasoned that pricing had lagged inflation, which aligns with the model's guidance.

| *"a failure to adjust menu prices in lockstep with the market"*

| *"Implement a targeted, data-backed price increase on inelastic, high-volume items rather than a flat menu-wide hike"*

The pricing lever was thoughtfully targeted at inelastic high-margin items and paired with a churn-protection rationale, matching the model recommendation.

| *"targeted price increases on inelastic, high-volume items (e.g., signature espresso drinks) rather than a flat menu-wide hike, protecting customer retention while reclaiming margin"*

What needs work

The candidate's central judgment that a 'massive operational issue' drives ~78% of the problem is an artifact of inflated math and an invented bean share, not evidence — it manufactures a phantom \$80M problem the data does not support.

| *"Shall we investigate the remaining ~\$80M cost gap"*

| *"The vast majority of our profit leak stems from unaddressed operational inefficiencies"*

The candidate did not name supply-chain hedging / multi-year bean contracts as a headline lever until deep in the brainstorm, despite a 40% commodity spike being the confirmed input driver.

| *"Supplier Renegotiation & Hedging: Lock in long-term supply contracts or futures for coffee beans"*

Missed opportunities

At turn 19 after computing the bean impact, the candidate pivoted to hunting an \$80M 'operational' gap.

A great answer: "Given beans are the confirmed 40% driver and labor/overhead are flat per Exhibit A, the most defensible read is that bean inflation plus lagging prices explains most of the squeeze — so I'd prioritize locking in multi-year bean supply contracts and selectively raising prices, rather than assuming a hidden operational problem the exhibit doesn't show."

Creativity & Brainstorming

strong

What went well

The brainstorm was organized into clear buckets (revenue, operational/COGS, structural) with several distinct ideas each.

"Here is a structured set of options, broken down into three strategic pillars:"

"1. Revenue-Side Optimizations (Top-Line)"

The candidate produced non-obvious ideas including subscription monetization and location/peak-hour tiered pricing.

"subscription models (e.g., a monthly 'unlimited coffee' tier) that guarantee high-margin foot traffic"

"Dynamic / Tiered Pricing: Introduce premium tier pricing based on location ... or high-volume peak morning hours"

The candidate prioritized within the brainstorm rather than leaving ideas flat.

"In the immediate short term, I would prioritize Strategic Pricing Adjustments and a Waste Management Audit"

Synthesis & Recommendation

adequate

What went well

The final recommendation was answer-first, concise, and structured around two prioritized levers with timelines.

"I recommend a two-pronged strategy:"

"Immediate Tactical Re-Pricing (Next 30 Days)"

Mini-syntheses appeared after the exhibit and math segments, giving the case a top-down feel throughout.

"Based on Exhibit A, COGS is the clear driver of the profitability decline."

What needs work

The recommendation is anchored to the inflated \$103.1M / \$80M figures and the phantom operational problem, so its central supporting evidence is quantitatively wrong.

"resulting in a \$103.1M cost problem"

"audit the remaining \$80M+ cost gap"

The synthesis names no explicit risk or caveat for the pricing recommendation (e.g., elasticity risk, competitor response), which the strong anchor requires.

"This will immediately push back against commodity inflation and protect margins without triggering severe customer churn."

Missed opportunities

At turn 23 delivering the CEO recommendation.

A great answer: "My recommendation: selectively raise prices 8–12% on specialty drinks where demand is inelastic, and lock in multi-year bean contracts to cap the confirmed 40% cost driver. Key risk is customer churn from pricing, which we'd mitigate by piloting increases in a few markets first; next step is to size bean share of COGS to confirm the contract lever's value."

Communication & Delivery

adequate

What went well

The candidate consistently signposted and used top-down ordering, stating conclusions before support.

"I prioritize the Cost Drivers branch."

"Recommendation to the CEO"

The candidate used hypothesis-driven language and confirmed alignment before diving in.

"my hypothesis is that the bean spike explains a significant portion, but not all, of the 16-point jump"

What needs work

Early answers were bloated and template-heavy, prompting the interviewer to twice redirect toward specificity.

"Here is the 4-step structured approach I intend to use to guide our discussion:"

"To ensure we are completely aligned, I'll walk you through my high-level framework"

Pushback, Composure & Case Leadership

strong

What went well

When challenged on the base-rate arithmetic error, the candidate acknowledged it specifically, explained precisely why it was wrong, and corrected the approach without becoming defensive.

“You're completely right, thank you for catching that. I made a fundamental scoping error with the base.”

“By applying the 40% increase directly to the 42 points, I incorrectly assumed that: Beans made up 100% of COGS.”

The candidate proactively drove the case forward at each juncture, asking for the specific data needed and stating what it would be used for.

“do we have the absolute dollar figures for revenue or total COGS from two years ago to anchor the math?”

“With that figure, I will execute a 3-step calculation to isolate the exact dollar impact”

What needs work

Although the candidate fixed the arithmetic method after the challenge, the corrected computation still embedded an unconfirmed assumption (15% as a two-year figure), so the coachability didn't fully translate into a correct answer.

“Revenue (2 Years Ago) = 480 / 1.15 = \$417.4M”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:03

Let's begin. To make sure we're aligned, can you walk me through how you're thinking about this problem?

Candidate · 0:20

Absolutely. To ensure we are completely aligned, I'll walk you through my high-level framework for approaching this problem. When tackling an ambiguous business challenge, my objective is always to break it down into mutually exclusive and collectively exhaustive (MECE) components. This allows us to isolate the root cause of the issue without losing sight of the big picture. Here is the 4-step structured approach I intend to use to guide our discussion: 1. Frame the Objective & Baseline First, I want to clearly define the ultimate goal. Are we trying to maximize profitability, capture market share, or mitigate an operational risk? I'll need to establish the baseline: What does the current state look like, what is the target metric, and what is the specific timeline the client is working against? 2. Dissect the Core Pillars (The Framework) Depending on the exact nature of the problem, I will break the situation down into its core economic drivers. If it's a Profitability issue: I will look at the problem through a Revenue (Price × Volume) and Cost (Fixed Costs + Variable Costs) lens to see where the leak is occurring. If it's a Strategic/Market Entry issue: I will analyze the Market (growth, trends), the Competitors (market share, barriers to entry), the Client's Internal Capabilities (synergies, financials), and the Economics of the opportunity. 3. Formulate and Test Hypotheses Once we have the data broken down, I will form an initial hypothesis on where the biggest lever for growth or cost-reduction lies. I'll then look to validate or disprove this hypothesis using data-driven insights, focusing our time only on the areas that move the needle most for the client. 4. Synthesize and Deliver Actionable Recommendations Finally, I won't just look at what the data says, but what the client should do about it. I will synthesize our findings into a concrete, prioritized implementation plan, factoring in risks, operational bottlenecks, and short-term vs. long-term wins. Before we dive deeper: To help me tailor this framework specifically to our case, could you provide a bit more context on the primary symptom the client is experiencing? For instance, are we dealing with a top-line revenue decline, an operational efficiency bottleneck, or a strategic growth decision?

Interviewer · 0:22

That's a general approach. This is a profitability problem. Take a moment and lay out a specific, MECE structure for this case.

Candidate · 0:48

Understood. Let's pivot from a general approach to a tailored, strictly MECE framework for this specific profitability problem. To systematically uncover why profitability is declining, we need to look at both sides of the equation: Revenue (top-line) and Costs (bottom-line). We will isolate the root cause by breaking the problem down into three primary pillars. Profitability Diagnostic Framework

[Profit Decline]		+-----+-----+		[1. Revenue Drivers]	
[2. Cost Drivers]		+--> By Segment (Product/Geo/Channel)		+-->	
Fixed Costs (Rent, Overhead, Admin)		+--> Volume (Units sold, customer churn)		+--> Variable Costs (COGS, Labor, Shipping)	
+--> Price (Average selling price, discounts)				v	
[3. External Market Factors]		+--> Competitor pricing/actions		+--> Customer preference shifts	
+--> Macroeconomic / Supply chain shifts					

1. Revenue Drivers (Top-Line Analysis) We need to determine if the issue stems from a decline in total inflows. To ensure this is MECE, we must first segment revenue by Product Line, Customer Segment, and Geography/Channel to see if the decline is isolated or widespread. For the problematic segments, we will analyze: Volume (\$Q\$): Has there been a drop in the number of units sold? Are we losing customers, or are existing customers buying less? Price (\$P\$): Has the average selling price dropped? Are we forced to give heavy discounts, or has our product mix shifted toward lower-margin items? 2. Cost Drivers (Bottom-Line Analysis) If revenues are stable—or if costs are rising faster than revenues—we must dissect the expense structure. We break this down into: Variable Costs / Cost of Goods Sold (COGS): Are our direct inputs becoming more expensive? We will look at raw material price increases, direct labor cost changes, and shipping/logistics inefficiencies. Fixed Costs: Has our overhead ballooned? We will examine fixed manufacturing overhead, marketing spend, administrative salaries, and rent/facility costs to see if capacity utilization has dropped. 3. External Market & Competitive Dynamics While the first two pillars cover the internal math, we must look at the external environment to explain why the numbers are shifting. This ensures our structure captures external dependencies: Competitor Actions: Have competitors launched a price war, or introduced a superior substitute that is driving down our volume? Customer Dynamics: Have buying behaviors or preferences changed? Macro Environment: Are there broader economic forces at play, such as inflation inflating our supply chain costs or changes in regulatory compliance? Hypothesis & Next Steps: My initial hypothesis in a profitability squeeze is usually that either material/labor costs have escalated out of line with pricing power, or sales volume has dropped due to an aggressive competitor move. To test this and begin drilling down, do we have data on whether this profit decline is driven primarily by a drop in revenue, an increase in expenses, or a combination of both?

Interviewer · 0:50

We know revenue grew fifteen percent. Given that, which branch do you prioritize, and why?

Candidate · 1:04

I prioritize the Cost Drivers branch. Since revenue grew by 15%, the profit decline must be driven by costs rising significantly faster than 15%. This means we are facing an expense problem rather than a demand problem. To narrow this down quickly, I want to look at where the cost spike is occurring: Variable Costs / COGS: Did the cost of raw materials, shipping, or direct labor scale

disproportionately with the 15% volume growth? Fixed Costs: Did a major overhead expansion (e.g., a new facility, aggressive marketing campaign, or hiring blitz) heavily outpace our revenue gains? Do we have data on which of these two cost categories grew the most?

Interviewer · 1:06

I can show you the cost structure over time. Here's exhibit A.

Candidate · 1:40

It looks like Exhibit A didn't come through. Please share the data or describe the trend, and I will dive right into the cost analysis.

Interviewer · 1:43

Let me put it up again. Here's exhibit A.

Candidate · 2:05

Based on Exhibit A, COGS is the clear driver of the profitability decline. Here is the quick breakdown of the shift from 2 years ago to the current year: COGS: Increased by 16 units (from 42 to 58), driving the vast majority of the profit erosion. Overhead: Crept up slightly by 2 units (from 12 to 14). Labor: Remained completely flat at 22. Because the numbers in each row sum to exactly 100, this looks like a percentage-of-revenue breakdown. Since revenue grew by 15%, COGS isn't just growing with volume—it's severely outstripping it, expanding significantly as a percentage of our total sales. To diagnose this COGS issue, I want to drill into two areas: Input Prices: Have the raw costs of coffee beans, milk, or packaging increased? Operational Waste: Are we experiencing inefficiencies, high spoilage, or supplier issues? Which of these areas should we explore next to find the root cause?

Interviewer · 2:09

COGS moved from forty-two to fifty-eight in points of revenue. You want to explore input prices. Here's the data on bean costs: Raw coffee bean costs are up 40% over the past two years.

Candidate · 2:21

A 40% spike in raw coffee bean costs is a major headwind, and it aligns heavily with the COGS inflation we are seeing. To determine if this completely explains the 16-point jump in COGS, I need to understand how heavily beans weigh on the total cost structure. What percentage of total COGS (or total revenue) did raw coffee beans account for two years ago?

Interviewer · 2:25

I don't have the bean share of COGS breakdown. Given that gap, how would you estimate whether the bean spike explains the sixteen-point jump?

Candidate · 2:47

To estimate whether the bean spike explains the entire 16-point jump, I will calculate the implied "breakeven" weight of beans in our cost structure. We know: Total COGS increased by ~38% (from 42 to 58, as a share of revenue). Raw bean costs increased by 40%. If the 40% bean cost spike is the sole reason COGS increased by 38%, raw beans would have to make up nearly the entirety of our COGS basket. Specifically, if beans were 100% of COGS, a 40% increase on 42 points of revenue would yield an increase of $42 \times 0.40 = 16.8$ points. This is incredibly close to our actual 16-point increase. Therefore, for the bean spike to explain the entire jump, beans must represent roughly 95% of total COGS ($\$16 / \16.8). Conclusion & Next Steps In a typical coffee business, COGS includes milk, syrups, cups, lids, and packaging—meaning beans rarely account for 95% of the total product cost. Because of this, my hypothesis is that the bean spike explains a significant portion, but not all, of the 16-point jump. The remaining gap is likely driven by secondary factors: Other Inputs: Have milk, packaging, or logistics costs also risen? Pricing Lag: Did we fail to raise our retail prices to match inflation, compounding the percentage jump? Wastage: Is there increased bean spoilage or theft in stores? Since we know beans are up 40%, do we have data on whether we've adjusted our menu prices over the last two years, or should we look at the costs of other major ingredients?

Interviewer · 2:49

Let me stop you on the arithmetic. You applied a forty percent increase to the full forty-two points of COGS. Walk me through why that's the wrong base.

Candidate · 3:09

You're completely right, thank you for catching that. I made a fundamental scoping error with the base. The 42 points from Exhibit A represents COGS as a percentage of revenue two years ago, not the absolute cost of beans themselves. By applying the 40% increase directly to the 42 points, I incorrectly assumed that: Beans made up 100% of COGS. Revenue remained entirely constant, which contradicts our earlier data that revenue grew by 15%. Because the data is expressed as a ratio ($\frac{\text{COGS}}{\text{Revenue}}$), the 16-point jump is affected by changes in both the absolute dollar cost of inputs (the numerator) and changes in revenue pricing/volume (the denominator). To do this accurately, I need to isolate the absolute dollar shifts rather than treating the revenue percentage as an absolute cost base. Let's correct the approach: do we have the absolute dollar figures for revenue or total COGS from two years ago to anchor the math?

Interviewer · 3:11

I have total revenue. Which figure do you want, and what will you do with it?

Candidate · 3:23

I want the Total Revenue figure from 2 years ago. With that figure, I will execute a 3-step calculation to isolate the exact dollar impact of the bean cost spike: Calculate Absolute COGS (2 Years Ago): Multiply Total Revenue by 42% to get the absolute dollar value of COGS back then. Calculate Current Revenue: Multiply the base revenue by 1.15 (to account for the 15% growth) to get the current total revenue. Calculate Current COGS: Multiply the current revenue by 58% to get the current absolute dollar value of COGS. Subtracting the old COGS from the current COGS gives us the total dollar increase. We can then test different scenarios for the bean share of COGS to see what percentage of that dollar increase is explained by the 40% raw bean spike. What was the total revenue two years ago?

Interviewer · 3:25

We only have current revenue, not the figure from two years ago. Here it is. Total revenue is \$480M a year.

Candidate · 3:42

Perfect. We can work backward from the current revenue of \$480M. 1. Calculate Current Absolute COGS Current Revenue: \$480M Current COGS: 58% of Revenue $\text{Current COGS} = 480 \times 0.58 = \text{\$278.4M}$ 2. Calculate Revenue Two Years Ago Since revenue grew by 15% over the past two years: $\text{Revenue (2 Years Ago)} = 480 / 1.15 = \text{\$417.4M}$ 3. Calculate Absolute COGS Two Years Ago COGS (2 Years Ago): 42% of Revenue $\text{COGS (2 Years Ago)} = 417.4 \times 0.42 = \text{\$175.3M}$ 4. Determine the Dollar Increase in COGS $\text{Total COGS Increase} = 278.4 - 175.3 = \text{\$103.1M}$ What to do with this to isolate the bean impact: We know the total cost increase is \$103.1M. We also know raw bean costs increased by 40%. Now, we can test reasonable industry benchmarks for the bean share of COGS to see if it explains this \$103.1M jump. For example, if coffee beans typically make up one-third (33%) of a coffee house's COGS: Old Bean Cost: $33\% \text{ of } \$175.3M = \text{\$57.8M}$ Bean Increase Impact: $40\% \text{ of } \$57.8M = \text{\$23.1M}$ Comparing that \$23.1M increase to our total \$103.1M problem shows that even with a substantial 40% commodity spike, beans would only explain about 22% of our profit erosion. This strongly suggests that a massive operational issue elsewhere (such as skyrocketing dairy costs, localized supply chain disruption, or significant inventory waste) is driving the rest of the \$103.1M increase. Shall we investigate the remaining ~\$80M cost gap, or look into the exact historical bean volume purchased?

Interviewer · 3:44

We've isolated that beans are only part of the story. Beyond the cost side, what else could the client do to reverse the margin decline? Give me a structured set of options.

Candidate · 4:02

To reverse the margin decline, we must look beyond just cutting the cost of raw inputs and focus on levers that either increase revenue efficiency or optimize operations. Here is a structured set of options, broken down into three strategic pillars: 1. Revenue-Side Optimizations (Top-Line) Since revenue grew by 15% but margins shrank, our pricing is not keeping pace with our cost structure. We can optimize this via: Strategic Pricing Adjustments: Implement targeted price increases on inelastic, high-volume items (e.g., signature espresso drinks) rather than a flat menu-wide hike, protecting customer retention while reclaiming margin. Product Mix Shift: Aggressively promote and up-sell high-margin secondary items (e.g., house-made pastries, syrups, alternative milks) via barista incentives and menu layout optimization to dilute the high cost of the core coffee bean input. Dynamic / Tiered Pricing: Introduce premium tier pricing based on location (e.g., high-rent urban stores vs. suburban drive-thrus) or high-volume peak morning hours. 2. Operational & COGS Efficiency (Bottom-Line) We need to directly address the remaining \$80M cost gap by targeting non-bean variable costs and waste: Inventory & Waste Management: Implement automated inventory tracking to reduce spoilage, over-pouring, or waste of high-cost dairy/alternative milks and food items. Supplier Renegotiation & Hedging: Lock in long-term supply contracts or futures for coffee beans and other high-volume materials (cups, lids) to shield the client from ongoing commodity volatility. SKU Rationalization: Audit the menu to eliminate low-volume, operationally complex, or low-margin items that complicate the supply chain and increase holding costs. 3. Structural & Commercial Levers (Business Model) To build long-term margin resilience, we can explore structural changes: Labor & Throughput Optimization: While labor stayed flat at 22 points, we can introduce automated espresso machines or optimized digital ordering channels (mobile app, kiosks) to increase transactions per labor hour during peak rushes. Loyalty Program Monetization: Leverage the client's current customer base to drive predictable demand through subscription models (e.g., a monthly "unlimited coffee" tier) that guarantee high-margin foot traffic and predictable cash flow. Recommendation & Next Steps: In the immediate short term, I would prioritize Strategic Pricing Adjustments and a Waste Management Audit, as these can be deployed quickly to stabilize the margin leak while longer-term supplier negotiations take place. Which of these pillars do you think our client has the most organizational capability to execute first?

Interviewer · 4:04

We're nearly out of time, so let's land it. What's your recommendation to the CEO?

Candidate · 4:21

Recommendation to the CEO Over the past two years, the business has faced a severe profitability squeeze: while revenue grew by a healthy 15% to \$480M, profits compressed from 24% down to just 6%. This margin erosion is driven entirely by a massive 16-point expansion in COGS (from 42% to 58% of revenue), resulting in a \$103.1M cost problem. While the 40% spike in raw coffee bean costs is a contributing factor, it only accounts for an estimated ~22% of this deficit. The vast majority of our profit leak stems from unaddressed operational inefficiencies, non-bean input inflation, and a failure to adjust menu prices in lockstep with the market. To

reverse this margin decline and stabilize the bottom line, I recommend a two-pronged strategy: Immediate Tactical Re-Pricing (Next 30 Days): Implement a targeted, data-backed price increase on inelastic, high-volume items rather than a flat menu-wide hike. This will immediately push back against commodity inflation and protect margins without triggering severe customer churn. Launch a COGS Diagnostic and Waste Audit (Next 60 Days): Deploy a rapid operational task force to audit the remaining \$80M+ cost gap, focusing specifically on high-cost secondary inputs (like dairy/alternative milks), inventory management, and store-level product spoilage. By executing these two levers, we can systematically reclaim our historic margin profile while ensuring the brand's 15% top-line growth trajectory is actually profitable.

Interviewer · 4:24

That concludes the case. Thank you — we'll follow up with feedback.